Block practice · Judging ratios, exchange rates, failure and market change

Work through each question type in order. Each section has a worked-example retry and all further practice. Attempt only the part outlined in red.

Reasons why businesses fail

Responding to changes in the market

Effects of exchange rate changes

Liquidity and how useful accounting ratios are

OLevels.com SCHOOL

Practice workbook · Reasons why businesses fail

Causes of business failure: cash-flow problems or lack of finance, losing competitiveness, and not adapting to market change.

5 question parts: 1 worked-example retry and 4 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S1-32

1. Question 2 · part c · 3 marks

2021 JUN · Paper 02

Worked-example retry · Attempt part c only.

2 (a) State **one** reason why *NEXT* would want to promote its own employees.

(1)

(b) State **one** reason why *NEXT* complies with health and safety laws.

(1)

(c) Explain **one** reason why businesses fail.

(3)

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8

P 6 6 4 7 4 A 0 8 2 0

1. Question 2 · part c · 3 marks

2021 JUN · Paper 02

Worked-example retry · Attempt part c only.

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(d) Explain **one** reason why a business would use batch production.

(3)

(e) Explain **one** reason why employees keep their curriculum vitae (CV) up to date.

(3)

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P 6 6 4 7 4 A 0 9 2 0

1. Question 2 · part c · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 3 · part d · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part d only.

3 (a) Define the term **legislation**.

(1)

(b) Outline **one** reason why *Saha* may dismiss an employee.

(2)

Figure 2 is an extract from a cash flow forecast.

	£
Cash inflows	
Sales	24 000
Other income	5 000
Cash outflow	
Net cash flow	11 000

Figure 2

(c) Calculate the **cash outflow**. You are advised to show your working.

(2)

£.....

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P 7 5 9 6 0 A 0 1 2 2 0

2. Question 3 · part d · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part d only.

(d) Analyse **two** possible reasons that may lead to business failure for *Saha*.

(6)

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2. Question 3 · part d · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part d only.

Saha is planning to develop a new range of robots aimed at helping people in the home with cleaning, shopping, security and entertainment.

It is considering two pricing methods for these robots:

Option 1: price skimming

Option 2: cost plus pricing.

(e) Justify which **one** of these two options *Saha* should choose.

(9)

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2. Question 3 · part d · 6 marks · Working and answer

Working and answer

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3. Question 2 · part a · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part a only.

2 *TADS* is looking to expand by offering lessons in other musical instruments.

(a) State **one** reason why this could lead to the business failure of *TADS*.

(1)

(b) State **one** benefit to *TADS* of using casual staff to teach music lessons.

(1)

(c) Explain **one** purpose of market research for a business.

(3)

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P 6 2 4 2 6 A 0 8 2 0

3. Question 2 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 1 · part f · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

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1 *Aude Rose* is a flower shop in Paris, France. It was set up by Aude Anglaret after she graduated with a qualification in floristry. It opened a shop in 2009 in the outskirts of Paris. Since then it has gone from strength to strength increasing its market share. To meet this increase in demand it has closed its first shop and opened a larger one in the centre of Paris with a higher rent and a possible increase in customers. It currently employs four florists. *Aude Rose* has been recognised for its high-quality flower arrangements that have been seen in several wedding magazines.

(a) (i) Which **one** of the following describes a minimum wage?

Select **one** answer.

(1)

- ☒ **A** Fixed amount per year and paid monthly
- ☒ **B** The lowest amount a business can legally pay its employees
- ☒ **C** Payment made to an employee for working additional hours
- ☒ **D** Payment made to an employee for reaching a target

(ii) Which **one** of the following describes the cash cow category in the Boston matrix?

Select **one** answer.

(1)

- ☒ **A** High market growth, high market share
- ☒ **B** High market growth, low market share
- ☒ **C** Low market growth, high market share
- ☒ **D** Low market growth, low market share

(iii) Which **one** of the following would give a business a negative cash flow?

Select **one** answer.

(1)

- ☒ **A** Cash inflow is greater than cash outflow
- ☒ **B** Costs are greater than profits
- ☒ **C** Profits are greater than costs
- ☒ **D** Cash outflow is greater than cash inflow

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4. Question 1 · part f · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

(iv) Which **one** of the following is a recruitment document that outlines the tasks and responsibilities of a job?

Select **one** answer.

(1)

- ☒ **A** Job description
- ☒ **B** Person specification
- ☒ **C** Application form
- ☒ **D** Curriculum vitae

To wrap its flowers *Aude Rose* buys 150 metres of wrapping paper from London, England every week at a cost of £0.46 per metre.

In October 2022 the exchange rate was £1 = €1.15

(v) Which **one** of the following is the total cost, in euros, of buying a four week supply of wrapping paper?

Select **one** answer.

(1)

- ☒ **A** €79.35
- ☒ **B** €276.00
- ☒ **C** €317.40
- ☒ **D** €396.75

Aude Rose provides flowers for large events. The most popular is a selection of traditional flowers selling for €65. The cost of making this selection of flowers is €42.

(vi) Which **one** of the following is the markup for a selection of traditional flowers?

Select **one** answer.

(1)

- ☒ **A** 54.76%
- ☒ **B** 64.62%
- ☒ **C** 182.61%
- ☒ **D** 282.61%

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4. Question 1 · part f · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

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(b) Define the term **economies of scale**.

(1)

(c) Define the term **stakeholder**.

(1)

(d) State **one** benefit to *Aude Rose* of using just-in-time (JIT) production.

(1)

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Aude Rose has fixed costs of €50 000 a year with a selling price of €50 and a variable cost of €10 per bunch of flowers sold.

(e) Calculate how many bunches of flowers *Aude Rose* will have to sell to break-even. You are advised to show your working.

(2)

..... bunches of flowers

4. Question 1 · part f · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

(f) Explain **one** reason why a business might fail.

(3)

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P 7 2 9 5 2 A 0 6 2 0

4. Question 1 · part f · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

(g) Analyse the importance to Aude Anglaret of motivating her employees.

(6)

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(Total for Question 1 = 20 marks)

4. Question 1 · part f · 3 marks · Working and answer

Working and answer

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5. Question 2 · part c · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

2 *Rabanne* aims to be the best provider of fragrances for men and women throughout the world. Therefore, it uses a range of methods to make sure it will achieve this aim.

(a) State **one** reason why *Rabanne* ensures that all its employees have job enrichment opportunities.

(1)

(b) State **one** way *Rabanne* could measure its success as a business.

(1)

(c) Explain **one** reason why some businesses fail.

(3)

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5. Question 2 · part c · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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(d) Explain **one** reason why a business would use targeted advertising online to promote itself.

(3)

(e) Explain **one** reason why businesses use statements of comprehensive income when making decisions.

(3)

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5. Question 2 · part c · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

Practice workbook · Responding to changes in the market

Changing customer needs, spending patterns and increased competition, and how a business responds to stay competitive.

5 question parts: 1 worked-example retry and 4 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S4-14

1. Question 4 · part b · 6 marks

2022 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part b only.

4 *Can Culleretes* offers a fixed price dinner menu at €38.40 per person. Groups of five or more are given a discount of 12.5% on their total bill.

(a) Calculate the total cost of a group of 12 people ordering from the fixed price dinner menu. You are advised to show your working.

(2)

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OLevels.COM — SCHOOL —

16

P 7 0 7 3 6 A 0 1 6 2 0

1. Question 4 · part b · 6 marks

2022 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part b only.

The city of Barcelona has seen a number of new restaurants offering various menus such as Italian and Turkish.

(b) Analyse the importance of *Can Culleretes* responding to changes in its market.

(6)

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1. Question 4 · part b · 6 marks

2022 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part b only.

Can Culleretes is opening Can Café near its restaurant. Can Café will be a smaller premise providing a variety of drinks and smaller plates of food for people in a hurry.

(c) Evaluate the impact of using venture capital as a source of finance to fund the opening of Can Café. You should use the information provided as well as your own knowledge of business.

(12)

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1. Question 4 · part b · 6 marks · Working and answer

Working and answer

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2. Question 3 · part b · 2 marks

2022 JUN · Paper 01

Further practice · Attempt part b only.

3 (a) Define the term **inventory**.

(1)

(b) Outline **one** method that *TBTS* might use to respond to greater competition.

(2)

In 2021, a *TBTS* toy shop had current liabilities of 36 000 SGD and current assets of 216 000 SGD.

(c) Calculate the current ratio for 2021. You are advised to show your working.

(2)

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2. Question 3 · part b · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 2 · part a · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part a only.

2 (a) State **one** method *Irsi Chocolatier* could use to improve its competitive position.

(1)

(b) State **one** way *Irsi Chocolatier* might extend the life cycle of one of its products.

(1)

(c) Explain **one** way a business could use e-newsletters.

(3)

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P 7 2 6 7 0 R A 0 8 2 0

3. Question 2 · part a · 1 mark · Working and answer

Working and answer

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4. Question 4 · part c · 12 marks

2020 NOV · Paper 02

Further practice · Attempt part c only.

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4 To train as a pilot can be very expensive. The cost of accommodation and meals as well as the actual cost of training must be taken into account. In 2018 the cost to an individual to become a pilot was 730 000 AED. *Emirates* aims to employ those pilots that have the best qualifications and skills.

Competition for air travel has increased over recent years as more and more people travel around the world, for work and pleasure. People are also taking holidays to many more different places. Lower cost airlines are entering the market to attract travellers.

Many trainee pilots take a bank loan of 730 000 AED to pay for their training.

(a) Calculate the total cost of a pilot's loan if the interest rate was 3%. You are advised to show your workings.

(2)

OLevels.COM SCHOOL

..... AED

4. Question 4 · part c · 12 marks

2020 NOV · Paper 02

Further practice · Attempt part c only.

(b) Analyse why *Emirates* considers interviewing pilots as an important part of the recruitment process.

(6)

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4. Question 4 · part c · 12 marks

2020 NOV · Paper 02

Further practice · Attempt part c only.

(c) Evaluate how changes in consumer spending patterns and competition may affect a business such as *Emirates*. You should use the information provided as well as your own knowledge of business.

(12)

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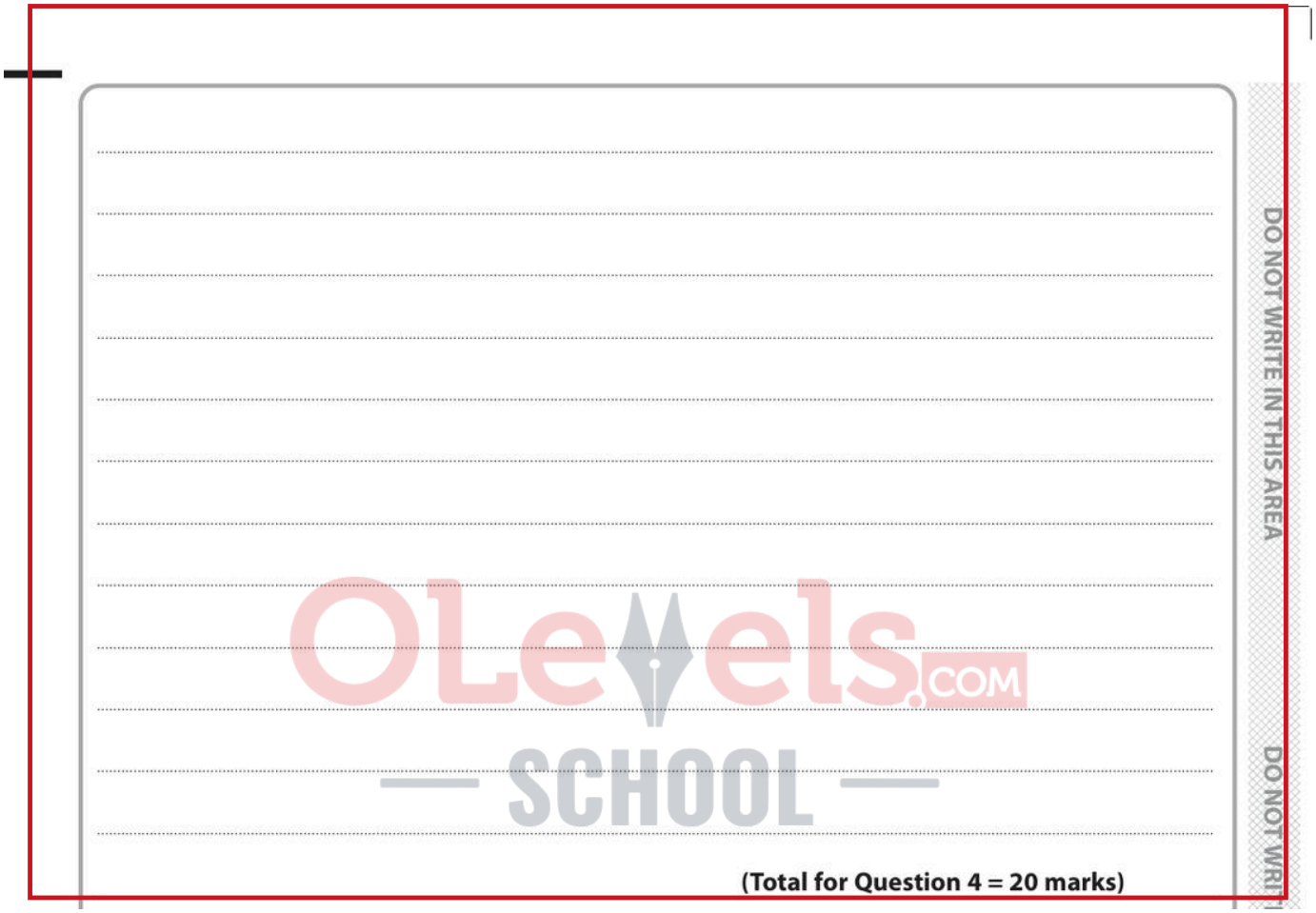
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4. Question 4 · part c · 12 marks

2020 NOV · Paper 02

Further practice · Attempt part c only.



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4. Question 4 · part c · 12 marks · Working and answer

Working and answer

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5. Question 4 · part c · 12 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

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4 **Figure 4** is an extract from a *Four Fitness* Statement of Comprehensive Income.

	€
Revenue	168 000
Costs of sales	54 638
Gross profit	113 362

Figure 4

(a) Calculate, to two decimal places, the gross profit margin. You are advised to show your workings.

(2)

.....%

OLevels.COM SCHOOL

5. Question 4 · part c · 12 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

(b) Analyse why *Four Fitness* complies with health and safety laws.

(6)

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5. Question 4 · part c · 12 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

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The global health and fitness market has an average growth of 7% a year. Individuals are spending more money on looking after their health by becoming fitter and taking out a gym membership. Advancements in technology are also making it easier to monitor fitness levels.

Four Fitness has two gyms in a health-conscious Italy. The team of instructors are all professionally qualified and enthusiastic to share their experience with its customers.

(c) Evaluate how *Four Fitness* may respond to the changes in the market. You should use the information provided as well as your own knowledge of business.

(12)

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5. Question 4 · part c · 12 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.



OLevels.com SCHOOL

5. Question 4 · part c · 12 marks · Working and answer

Working and answer

OLevels.com SCHOOL

Practice workbook · Effects of exchange rate changes

How a rise or fall in a currency affects importers, exporters, competitiveness, costs and prices.

5 question parts: 1 worked-example retry and 4 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S1-18

1. Question 3 · part d · 6 marks

2023 NOV · Paper 01

Worked-example retry · Attempt part d only.

3 (a) Define the term **job production**.

(1)

.....

.....

.....

(b) Outline why *AWG* can be classified as operating in the secondary sector.

(2)

.....

.....

.....

.....

.....

.....

In 2022, *AWG* borrowed 70 000 ISK from its bank. At the end of the year it paid back the loan with 6.5% interest.

(c) Calculate the total amount, including interest, *AWG* would have paid to the bank. You are advised to show your working.

(2)

.....ISK

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1. Question 3 · part d · 6 marks

2023 NOV · Paper 01

Worked-example retry · Attempt part d only.

AWG is an importer and an exporter. It imports materials to make its jumpers and exports its clothing to international customers.

(d) Analyse the impact on *AWG* of a depreciation of the ISK.

(6)

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1. Question 3 · part d · 6 marks

2023 NOV · Paper 01

Worked-example retry · Attempt part d only.

AWG is planning to launch a new range of clothing aimed at teenagers and younger adults. It is considering two pricing methods:

Option 1: competition pricing

Option 2: cost plus pricing.

(e) Justify which **one** of these two options *AWG* should choose.

(9)

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1. Question 3 · part d · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 1 · part a.vi · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part a.vi only.

1 *Backyard Shoez* is a retail business located in Nairobi, Kenya. It sells a wide range of shoes, handbags and accessories for ladies only. *Backyard Shoez* has three shops in Nairobi. The shops are located in a busy shopping centre where there are other shoe shops.

(Source adapted from: https://backyardshoez.co.ke/)

(a) (i) Which **one** of the following is a method of secondary market research?

(1)

Select **one** answer.

- ☒ **A** Questionnaires
- ☒ **B** Government reports
- ☒ **C** Surveys
- ☒ **D** Focus groups

(ii) Which **one** of the following could be a financial objective for the owners of *Backyard Shoez*?

(1)

Select **one** answer.

- ☒ **A** Personal satisfaction
- ☒ **B** Increased production quality
- ☒ **C** Increased market share
- ☒ **D** Loyal employees

(iii) Which **one** of the following is an external source of finance for the owner of a business?

(1)

Select **one** answer.

- ☒ **A** Bank loan
- ☒ **B** Retained profit
- ☒ **C** Personal savings
- ☒ **D** Selling assets

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OLevels.com SCHOOL

2. Question 1 · part a.vi · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part a.vi only.

(iv) Which functional area would be responsible for quality control?

(1)

Select **one** answer.

- ☒ **A** Marketing
- ☒ **B** Human Resources
- ☒ **C** Production
- ☒ **D** Administration

In February 2018 *Backyard Shoez* imported 50 handbags from Italy. Each handbag cost them €20.

The exchange rate In February 2018 was €1 = 124.48 Kenyan Shillings (Ks).

(v) How much did *Backyard Shoez* have to pay in Kenyan Shillings for each handbag imported in February 2018?

(1)

Select **one** answer.

- ☒ **A** 2 489.60
- ☒ **B** 6 224.00
- ☒ **C** 24 896.00
- ☒ **D** 124 480.00

In September 2018 the exchange rate was €1 = 117.79 Ks.

(vi) What effect would this exchange rate have on *Backyard Shoez* if the cost of an imported handbag remained at €20?

(1)

Select **one** answer

- ☒ **A** Import costs would be unchanged
- ☒ **B** Net cash flow would improve
- ☒ **C** The price of the handbags in euros would rise
- ☒ **D** The cost of importing a handbag would fall

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OLevels.com SCHOOL

2. Question 1 · part a.vi · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part a.vi only.

(b) Define the term **stakeholder**.

(1)

(c) Define the term **quantitative data**.

(1)

(d) State **one** method *Backyard Shoez* could use for on-the-job training.

(1)

Figure 1 is an extract from the statement of Profit or Loss Account of Backyard Shoez.

	Ks
Revenue	570 000
Cost of goods sold	67 500
Direct labour	2 000
Total cost of sales	69 500
Gross profit	500 500

Figure 1

(e) Calculate the gross profit margin to 2 decimal places. You are advised to show your working.

(2)

.....%

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2. Question 1 · part a.vi · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 1 · part a.iv · 1 mark

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part a.iv only.

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1 (a) (i) Which sector does a clothing retailer operate in?

(1)

- ☒ **A** Primary
- ☒ **B** Secondary
- ☒ **C** Tertiary
- ☒ **D** Quaternary

(ii) Which **one** of the following is an example of a fixed cost?

(1)

- ☒ **A** Rent
- ☒ **B** Overdraft charges
- ☒ **C** Raw materials
- ☒ **D** Commission

Yellow's store in Dubai ordered 2,000 T-shirts at a cost of 6 000 Rupees each. Currently the exchange rate is 1 Rupee = 0.032 Dirham (AED).

(iii) What would the *Yellow* store in Dubai pay in Dirhams for the 2,000 T-shirts?

(1)

- ☒ **A** 62 500
- ☒ **B** 187 500
- ☒ **C** 375 000
- ☒ **D** 12 000 000

OLevels.com SCHOOL

3. Question 1 · part a.iv · 1 mark

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part a.iv only.

Six months later, *Yellow* placed a repeat order for the same number of T-shirts at the same price. The exchange rate now is 1 Rupee = 0.042 AED.

(iv) What would be an effect on *Yellow* of the change in the exchange rate?

(1)

- ☒ **A** Lower profit
- ☒ **B** Higher variable costs
- ☒ **C** Cash flow deteriorates
- ☒ **D** Could charge lower prices

(v) Which **one** of the following is a long-term source of finance?

(1)

- ☒ **A** Sales revenue
- ☒ **B** Reinvested profit
- ☒ **C** Trade credit
- ☒ **D** Bank overdraft

Figure 1 shows financial information in Rupees for 2015 to 2016.

Year ending	2016	2015
Revenue	13 399 000	12 880 000

Figure 1

(vi) What is the percentage increase in revenue from 2015 to 2016?

(1)

- ☒ **A** 4.03%
- ☒ **B** 5.19%
- ☒ **C** 6.44%
- ☒ **D** 8.69%

(b) Define the term **crowdfunding**.

(1)

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P 5 9 9 3 2 A 0 4 1 6

3. Question 1 · part a.iv · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 1 · part a.vi · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part a.vi only.

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1 *The Alternative Drum School (TADS)* was set up in the wealthy area of Cricklade, England in 2008 by Ollie Tanner who had a passion for and enjoyed drumming. Ollie invested all of his savings into the drumming school. He saw the potential of being located away from other drumming schools.

Ollie promotes his business by writing columns in local papers, performing at local music festivals and by word of mouth recommendations. He has invested heavily in computer technology to allow students to produce the music they enjoy playing.

Ollie finds it difficult to maintain a good work-life balance. Ollie currently works 60 hours a week in a business that does not have reliable profits.

(a) (i) Which **one** of the following could a sole trader pay on its profits?

(1)

Select **one** answer.

- ☒ **A** Sales tax
- ☒ **B** Income tax
- ☒ **C** Corporation tax
- ☒ **D** Indirect tax

(ii) Which **one** of the following is a variable cost?

(1)

Select **one** answer.

- ☒ **A** Insurance
- ☒ **B** Rent
- ☒ **C** Salaries
- ☒ **D** Packaging

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4. Question 1 · part a.vi · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part a.vi only.

(iii) Which **one** of the following is a method of primary market research?

(1)

Select **one** answer.

- ☒ **A** Newspaper articles
- ☒ **B** Government statistics
- ☒ **C** Focus groups
- ☒ **D** Internet research

(iv) Which **one** of the following is used to calculate net cash flow?

(1)

Select **one** answer.

- ☒ **A** Total cash inflow – total cash outflow
- ☒ **B** Total cash inflow + total cash outflow
- ☒ **C** Opening balance – closing balance
- ☒ **D** Opening balance + closing balance

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TADS has developed contracts with drumming schools in other countries to teach online music lessons.

An Italian drumming school has agreed that *TADS* can teach five lessons per week. Each lesson costs £15 for half an hour. The exchange rate in January 2019 was £1 = €1.15.

(v) What will the Italian drumming school pay in euros (€) for these five lessons?

(1)

Select **one** answer.

- ☒ **A** €5.75
- ☒ **B** €15.00
- ☒ **C** €75.00
- ☒ **D** €86.25

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4. Question 1 · part a.vi · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part a.vi only.

In May 2019 the exchange rate was £1 = €1.05. *TADS* continued to provide the Italian drumming school with five lessons a week.

(vi) What effect would this change in the exchange rate have on the Italian drumming school?

(1)

Select **one** answer.

- ☒ **A** A decrease in cash outflows
- ☒ **B** An increase in import costs
- ☒ **C** A decrease in revenue
- ☒ **D** An increase in the internet costs

(b) Define the term **fixed costs**.

(1)

(c) Define the term **stakeholder**.

(1)

(d) State **one** benefit to *TADS* of investing in computer technology.

(1)

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Turn over

4. Question 1 · part a.vi · 1 mark · Working and answer

Working and answer

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5. Question 3 · part a · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part a only.

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3 (a) Define the term **exporter**.

(1)

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(b) Outline **one** advantage to *Samsung* of using flow production when manufacturing its products.

(2)

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The cost of manufacturing a *Samsung* laptop is 520 000 KRW (South Korean won). The mark-up is 25% on the manufacturing costs.

(c) Calculate the selling price of the laptop. You are advised to show your workings.

(2)

.....KRW

5. Question 3 · part a · 1 mark · Working and answer

Working and answer

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Practice workbook · Liquidity and how useful accounting ratios are

The meaning of liquidity and how profitability and liquidity ratios help a business judge performance and compare.

4 question parts: 1 worked-example retry and 3 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S3-27

1. Question 4 · part b · 6 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part b only.

4 *TBTS* lets customers sign up for a Very Important Person (VIP) membership on its website. The website gives VIP members special rates and exclusive offers.

TBTS sells dinosaur toys for 22.80 SGD. VIP members get a discount of 15%.

(a) Calculate the total cost to a VIP member of buying 17 dinosaur toys.
You are advised to show your working.

(2)

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1. Question 4 · part b · 6 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part b only.

Figure 2 shows the acid test ratios for *TBTS*.

2018	2019	2020
0.75	0.87	0.88

Figure 2

(b) Analyse the usefulness to *TBTS* of the acid test ratio.

(6)

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1. Question 4 · part b · 6 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part b only.

(c) Evaluate the importance of good internal and external communication to *TBTS*. You should use the information provided as well as your own knowledge of business.

(12)

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1. Question 4 · part b · 6 marks · Working and answer

Working and answer

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2. Question 3 · part a · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part a only.

3 One of *TADS'* objectives is to expand by giving lessons for different musical instruments. To do this it will need to analyse its financial position.

(a) Define the term **liquidity**.

(1)

(b) Outline **one** possible financial objective, other than revenue, that *TADS* might have.

(2)

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2. Question 3 · part a · 1 mark · Working and answer

Working and answer

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3. Question 4 · part b · 6 marks

2019 JUN · Paper 01

Further practice · Attempt part b only.

4 *Backyard Shoez* buys children's shoes for 2 400 Ks and sells them for 3 200 Ks.

(a) Calculate the markup on these shoes. You are advised to show your working.

(2)

.....%

(b) Analyse the usefulness of profitability ratios to *Backyard Shoez*.

(6)

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P 5 9 0 0 5 R A 0 1 4 1 6

3. Question 4 · part b · 6 marks

2019 JUN · Paper 01

Further practice · Attempt part b only.

(c) Evaluate the importance of primary market research to *Backyard Shoez*. You should use the information provided as well as your own knowledge of business.

(12)

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(Total for Question 4 = 20 marks)

3. Question 4 · part b · 6 marks · Working and answer

Working and answer

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4. Question 1 · part g · 6 marks

2024 JUN · Paper 01

Further practice · Attempt part g only.

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1 *Posh Pets Spain* (*PPS*) is a pet hotel in the village of Alhaurin el Grande, Spain. It is run by Rachel Goutorbe, an animal enthusiast, and her team of four pet specialists. *PPS* offers overnight accommodation with room for seven dogs or cats, a pet grooming service and a shop selling pet products, such as dog coats and dog leads. Pet grooming involves washing, cutting and combing a pet's coat.

(a) (i) Which **one** of the following is protected by legislation?

Select **one** answer.

(1)

- ☒ **A** Skills
- ☒ **B** Age
- ☒ **C** Experience
- ☒ **D** Ability

(ii) Which **one** of the following represents a star product on the Boston matrix?

Select **one** answer.

(1)

- ☒ **A** High market growth, high market share
- ☒ **B** High market growth, low market share
- ☒ **C** Low market growth, high market share
- ☒ **D** Low market growth, low market share

(iii) Which **one** of the following is the method of production where one unit of output is completed at a time?

Select **one** answer.

(1)

- ☒ **A** Lean
- ☒ **B** Flow
- ☒ **C** Batch
- ☒ **D** Job

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4. Question 1 · part g · 6 marks

2024 JUN · Paper 01

Further practice · Attempt part g only.

(iv) Which **one** of the following is a current asset?

Select **one** answer.

(1)

- ☒ **A** Vehicle
- ☒ **B** Cash
- ☒ **C** Building
- ☒ **D** Factory

PPS imports handmade leather dog collars from the UK. Each dog collar costs £26.50.

The exchange rate is €1 (euro) = £0.84 (pound).

(v) Which **one** of the following is the total cost in euros when buying 20 dog collars from the UK?

Select **one** answer.

(1)

- ☒ **A** €22.56
- ☒ **B** €445.20
- ☒ **C** €630.95
- ☒ **D** €513.20

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4. Question 1 · part g · 6 marks

2024 JUN · Paper 01

Further practice · Attempt part g only.

Figure 1 gives details of the *PPS* pet grooming service.

Average number of customers each month	30
Average price per service	€54
Variable costs per service	€17.25
Fixed costs per month	€175

Figure 1

(vi) Which **one** of the following is the total monthly cost for *PPS*?

Select **one** answer.

(1)

- ☒ **A** €692.50
- ☒ **B** €931.50
- ☒ **C** €2137.50
- ☒ **D** €2312.50

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4. Question 1 · part g · 6 marks

2024 JUN · Paper 01

Further practice · Attempt part g only.

Many manufacturers make use of robots in their production processes.

(b) Define the term **robotics**.

(1)

(c) Define the term **capital intensive production**.

(1)

PPS has seen lower sales of its pet accessories.

(d) State **one** extension strategy *PPS* could use to extend the life cycle of the pet accessories.

(1)

PPS is planning to take on additional employees. The hourly minimum wage in Spain is €7.45. The government is increasing this hourly minimum by 3.5%.

(e) Calculate the new hourly minimum wage after the increase of 3.5%. You are advised to show your working.

(2)

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4. Question 1 · part g · 6 marks

2024 JUN · Paper 01

Further practice · Attempt part g only.

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(f) Explain **one** reason why many businesses have a human resource function.

(3)

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4. Question 1 · part g · 6 marks

2024 JUN · Paper 01

Further practice · Attempt part g only.

Figure 2 is an extract of financial information from *PPS*.

Gross profit margin in 2022	25.6%
Gross profit margin in 2023	29.4%

Figure 2

(g) Analyse the usefulness of the gross profit margin to *PPS*.

(6)

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(Total for Question 1 = 20 marks)

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4. Question 1 · part g · 6 marks · Working and answer

Working and answer

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